

port the company ballyhooed its six new stores in California as "the launching of a new division for which we have the highest expectations," and the 1996 report boasts as evidence of "strong financial controls" its decision to close its California stores, you might suspect that management is applying spin control to a failure.

It takes digging to get the full story, and most individual investors don't have the time for it and wouldn't be particularly interested even if they did have the time. That's why we have mutual funds. The professional's biggest advantage is access to top management. We can ask tough questions and make judgments about how the people answer them. We seldom buy a stock at Acorn unless I or someone on my staff visits the company.

One would think that with all those brokerage firms out there dispatching their analysts to every corner of corporate America, we portfolio managers could just sit at our desks and sift through research reports while drinking latte. Analysts are competent gatherers of facts and figures, but few can be relied upon for much more. Their assessments of managements are superficial and far too uncritical. Many even submit their write-ups to companies for editing. You'd think they'd been hired to do public relations. A sell recommendation? Most of the ratings they offer are *Buy Now*, *Buy Pretty Soon*, and *Buy on Dips*. It's like reading *Pravda* in Stalin's day: any adjective less upbeat than "superior" is code for "disaster."

I know some investors say they prefer not talking to management, because managers are always too optimistic and they don't want to be swayed by overly rosy forecasts. But I've found these visits very valuable. You do get a better sense of the company and the honesty and ability of the people running it. Management is a particularly critical factor at smaller companies. I like to think that, as an investor, I'm going to be the partners of these entrepreneurs for a long time, and I sure as heck want to meet my partners.

So I like to find managements that I feel are my surrogates. I want a small group of hard workers who know their industry, who have plans for the future but can adapt to change, and who are